JOCKSTAR INVESTMENTS (PRIVATE) LIMITED
versus
MOREBLESSING MOYO
and
KUDZAI BONYONGWE
and
TINASHE EDSON MACHIMBIDZA

HIGH COURT OF ZIMBABWE
DEMBURE J
HARARE, 1 April 2026

Special plea

B. Maunze, for the plaintiff
E. T. Moyo, for the 1st defendant
S. Njerere with *G. Chifamba,* for the 2nd and 3rd defendants

DEMBURE J:

INTRODUCTION

This is a contested action instituted on 25 January 2024 by the plaintiff initially against the now first defendant. The claim was subsequently amended following the joinder of the second and third defendants to the action. The said defendants were joined to these proceedings following a court order issued in Case No. HCH 2016/24, *per* DEME J. The plaintiff seeks an order for confirmation of the cancellation of the agreement of sale it entered into with the first defendant in respect of stand number 3129 (formerly 2622) of Lot 4, Zizalisari, Bannockburn Township, Harare (*"the property"),* as well as costs of suit as against the defendants.

Both the plaintiff and the first defendant raised special pleas of prescription. Thus, the first defendant raised a special plea that the plaintiff's claim has prescribed and must be dismissed. Conversely, the plaintiff also raised a special plea that the first defendant's claim in reconvention has also prescribed and ought to be dismissed. These special pleas are what the court must determine first.

FACTUAL BACKGROUND

The plaintiff is Jockstar Investments (Private) Limited, a company duly registered in terms of the laws of Zimbabwe. The first defendant is Moreblessing Moyo, a female adult. The second and third defendants are Kudzai Bonyongwe and Tinashe Edson Machimbidza.

On 8 December 2025, the plaintiff and the first defendant, who are the relevant parties to the special pleas, filed a Statement of Agreed Facts. The following facts are accordingly common cause:

1. On 12 July 2011, the plaintiff and the first defendant initially entered into an agreement of sale in respect of a certain piece of land called stand number 2489 of Lot 4 Zizalisari, Bannockburn Township. The agreement was subsequently cancelled and replaced with another on 16 June 2012, for what was now designated as stand 2622 (later renamed stand 3129). The signed agreement contained essentially the same terms as the first one.

2. The material terms of the agreement of sale were *inter alia* that:

2.1 The purchase price for the property was US$17,000.00;

2.2 A deposit of US$12,200.00 was to be paid in cash upon signing the agreement;

2.3 The balance of US$4,800.00 was to be paid by 11 August 2011; and

2.4 The plaintiff was obliged to transfer the property to the first defendant as soon as all the conditions in the agreement of sale were met.

3. It is not in dispute that, in compliance with her contractual obligations, the first defendant paid the deposit in the sum of US$12,000.00 in cash towards the purchase price. The outstanding balance was, therefore, US$4,800.00. There is a dispute as to whether the outstanding balance was eventually paid, as the plaintiff averred that it was not paid and, therefore, the first defendant breached the contract. On the other hand, the first defendant insisted that she duly settled the amount together with the development costs demanded by the plaintiff.

4. The plaintiff issued the first defendant with a Clearance Certificate on 24 June 2014, confirming that the full purchase price had been settled.

5. The plaintiff's case is that it cancelled the said Clearance Certificate on 7 November 2018 after discovering through an audit that the balance of the purchase price had remained outstanding. It was averred that the plaintiff sent a letter of demand for the balance on 12 December 2018, and, in default thereof, the plaintiff alleged that it proceeded to cancel the agreement between the parties on 1 February 2019.

6. It was further common cause that in January 2023, the first defendant presented to the plaintiff, requesting transfer of the stand or property, supposedly having discovered that the plaintiff had begun passing ownership to the purchasers of stands in the development. The plaintiff wrote to the plaintiff refusing to transfer the property on the basis that it had cancelled the agreement.

7. The plaintiff subsequently issued summons for confirmation of the cancellation of the agreement of sale. On 5 February 2024, the summons was served on the first defendant.

8. The claim was defended by the first defendant. On 14 March 2024, the first defendant filed a plea together with a claim in reconvention seeking specific performance by way of transfer of the property. In that counterclaim, the first defendant raised a special plea of prescription against the plaintiff's claim. The plaintiff, in its plea to the counterclaim, also pleaded specially that the first defendant's claim in reconvention has prescribed.

9. It is also not in dispute that the second and third defendants purchased the property from the plaintiff in 2022 following the alleged cancellation of the agreement between the plaintiff and the first defendant. They filed a plea to the first defendant's claim in reconvention, alleging that they were innocent purchasers who had paid the purchase price in full and were due to obtain title until the current litigation stalled the transfer process.

Initially, the parties appeared before me for trial on 27 November 2025. It became apparent that the court had to determine the special pleas first before proceeding with the trial on the merits. The parties were of the view that the facts relevant to the determination of the special pleas were common cause and that they could be determined after the parties filed a Statement of Agreed Facts. I accordingly issued a case management order by consent directing the parties to

file the Statement of Agreed Facts by 1 December 2025. Further directives were issued regarding the filing of the parties' written submissions and the court's subsequent issuance of its judgment. One of the terms of the order was that I had to delay my decision until after 31 December 2025 to give the parties the chance to pursue an amicable settlement of the dispute. The plaintiff had to formally advise the Registrar on the outcome of the engagements within two (2) days after 31 December 2025.

The parties failed to comply with the timelines for the filing of the Statement of Agreed Facts and their submissions. The Statement of Agreed Facts was only filed on 8 December 2025, while the first defendant filed her heads of argument on 11 December 2025. The plaintiff did not file anything. After 31 December 2025, there was again no formal communication from the plaintiff on the outcome of their engagements.

Noticing the lapse of time with no progress on the matter, I directed the Registrar to set the matter down. On 9 February 2026, the parties appeared before me, and it became apparent that the parties could not settle the dispute amicably. With the consent of the parties, the court condoned the late filing of the first defendant's written submissions and the failure by the plaintiff to file its submissions in terms of the court order of 27 November 2025. The plaintiff was granted a further period of five (5) days to file its heads of argument. It was further stated that the parties would continue to pursue an amicable settlement of the dispute, and, if the matter was resolved, they would file the deed of settlement and draft a consent order on or before 16 February 2026. The order stated that once there was no settlement by that date, I should proceed to determine the parties' respective special pleas.

I must state that generally, evidence must be adduced by the parties before the court may determine a special plea. However, where the facts are common cause or not in dispute, there would be no need for the parties to adduce evidence. This position was enunciated in *Brooker v Mudhanda & Anor, Pierce* v *Mudhanda & Anor* SC 05/18. In *casu*, the parties filed a Statement of Agreed Facts, recording the facts necessary for the determination of the special pleas as undisputed.

I will now first deal with the first defendant's special plea.

FIRST DEFENDANT'S SPECIAL PLEA OF PRESCRIPTION

The question to be determined is whether or not the plaintiff's claim has prescribed.

The first defendant specially pleaded that, to the extent the plaintiff seeks to rely on a purported breach that, by its own acknowledgement, became known to it in 2018, to which it claims it issued a letter of demand on 12 December 2018, a period of 3 years has since lapsed. It was pleaded that the result was that the cause of action sued upon by the plaintiff had long been extinguished by prescription. It was prayed that the plaintiff's claim ought to be dismissed on that basis alone with costs.

In its replication, the plaintiff stated that the plea was misplaced as the relief sought by the plaintiff is declaratory in nature and, therefore, prescription does not apply. I must state that the replication by the plaintiff merely placed in issue essentially a legal argument that prescription does not apply to a declaratory relief. That is what was pleaded, and that is what is in contention between the parties.

THE WRITTEN SUBMISSIONS

SUBMISSIONS FOR THE FIRST DEFENDANT

Mr *Moyo,* for the first defendant, argued that in terms of s 15 of the Prescription Act [*Chapter 8:11*] (*"the Act"*), a debt becomes prescribed after the lapse of a period of 3 years. Counsel cited the case of *John Conradie Trust* v *The Federation of Kushanda Pre-Schools Trust & 3 Ors* SC 12/17 at pp 5-6 on the point that any cause of action is susceptible to prescription unless it is specifically exempted by the provisions of the Act. He also argued that the court in *Muchesa v Housing Director Chitungwiza & Ors* HH 643/25 had occasion to consider whether prescription applies to a claim for declaration of rights. Counsel further stated that the court found that the Supreme Court in the case of *Syfin Holdings Limited* v *Pickering* 1982 (1) ZLR 10 (SC) at 19D-E was emphatic when it interpreted the definition of debt as defined in s 2 of the Act, that it includes a claim for declaration of rights in any given circumstances.

It was further argued that the running of prescription commences as soon as a debt is due in terms of s 16 of the Act. In *Peebles v Dairiboard* 1999 (1) ZLR 42 (HC), it was emphasised that the clock for prescription starts to run when the plaintiff is equipped with a complete cause of action. Counsel argued that he was making the plea of prescription, relying on facts that are common cause from the pleadings and admitted; hence, there was no need to lead evidence. On

this point, counsel relied on the case of *Brooker* v *Mudhanda & Anor, Pierce* v *Mudhanda & Anor* (*supra*). It was also argued that the plaintiff seeks this court to find its purported cancellation of the contract valid on account of the first defendant's breach in failing to pay the outstanding balance under an agreement of sale between them. It was further argued that its cause of action is the alleged breach by the first defendant. The claim was a debt by reason of an obligation arising out of a contract, as contemplated by the definition of a 'debt' in s 2 of the Act. Counsel argued that the plaintiff has never disputed the facts upon which the plea was moved; the prescription period commenced in 2018. In its replication, it only disputed the legal conclusion that prescription applied, but not the facts surrounding the plea. It was argued that what is not denied in pleadings is regarded as accepted. See the case of *Makoni* v *Makoni* SC 57/25.

It was further submitted that the matter has prescribed whichever date that one may look at the matter as mentioned by the plaintiff, be it 7 November 2018 when it said it cancelled the certificate of clearance or 12 December 2018 when it claims to have put the first defendant in *mora*, or much later on 1 February 2019 when it says it elected to cancel the agreement. Mr *Moyo* also submitted that the summons was only served on the first defendant on 5 February 2024. A period of 5 years or more since the time when the plaintiff first became aware of the facts upon which the claim arises had lapsed. It was accordingly concluded that there can be no doubt that, as at the date when the summons was served, the right to sue had long since been extinguished by operation of law.

SUBMISSIONS FOR THE PLAINTIFF

Mr *Maunze*, for the plaintiff, argued that the first defendant misunderstood the nature of the claim by the plaintiff. It is for the confirmation of the cancellation of an agreement of sale. Counsel argued that the plaintiff, having given the first defendant notice to remedy the breach, cancelled the agreement of sale on 1 February 2019. This is found in para 6 of the Statement of Agreed Facts. A cancellation of a contract is a unilateral act and requires no participation by the breaching party. Counsel argued that once the plaintiff cancelled the agreement of sale, it stood cancelled at law unless set aside by a court of law. He cited the case of *Jakazi & Anor* v *The Anglican Church of the Province of Central Africa* SC 10/13 at p 6. I must state that the said

judgment only related specifically to the act of resignation by a party. Mr *Maunze* further argued that, ordinarily, there is no legal requirement to confirm the cancellation of an agreement. It only arises when there is a dilemma regarding the cancellation. He argued that the defendant's resistance would only come in January 2023, when she was insisting on transfer, and that is when the cause of action for the plaintiff arose, through a declaratory relief.

Counsel also argued that the cause of action to confirm the cancellation only arose in January 2023, and 3 years have not yet passed; thus, the requirements of section 15(d) of the Act remain unsatisfied. He also argued that a declaration of rights, by its very nature, does not entail establishing new rights; it merely declares what already exists. It is a remedy to secure the public interest of certainty or correct legal position and such a remedy cannot prescribe. He cited the case of *Ndlovu v Ndlovu & Anor* HB 18/13 at p 2. Counsel submitted that the cancellation, having been done on 1 February 2019, remains undisturbed, and a declaratory relief to confirm this cancellation cannot prescribe. The cancellation is in perpetuity, and the plaintiff's right to have it declared as such does not go away.

THE LAW ON THE SPECIAL PLEA OF PRESCRIPTION

It is well-established that the special plea of prescription is a complete defence to a claim. Accordingly, once it is established, the court has no discretion but to dismiss the claim notwithstanding its merits. No issue of equities may even arise. Thus, in terms of s 14(1) of the Prescription Act (*"the Act"*), a debt shall be extinguished by prescription after the lapse of the prescriptive periods set out under s 15, depending on the nature of the debt. The relevant part of s 15 of the Act reads as follows:

> "The period of prescription of a debt shall be—
>
> (a)….
>
> (b) ….
>
> (c) ….
>
> (d) except where any enactment provides otherwise, three years, in the case of any other debt." (*my emphasis)*

What constitutes a debt is defined in s 2 of the Act as follows:

> "debt", without limiting the meaning of the term, includes anything which may be sued for or claimed by reason of an obligation arising from statute, contract, delict or otherwise."

The term 'debt' is very wide. It is trite that the phrase is synonymous with a cause of action. This position was affirmed in *John Conradie Trust* (*supra*), where BHUNU JA said:

> "The phrase, "anything which may be sued for" gives the term 'debt' a very wide meaning synonymous with cause of action as observed by GREENLAND J in *Denton v Director of Customs & Excise* 1989 (3) ZLR 41 at 48. In that case the learned judge had occasion to remark that:
>
> > "Note that the word "debt "used in this Act (Prescription Act) and the words "cause thereof" used in s 178 (4) of the Customs and Excise Act mean the same thing. This is because of the wide meaning of "debt" set out in the former."

It is also settled that prescription commences to run when a debt becomes due or as soon as a cause of action arises. Thus, the debt is not deemed due until the creditor becomes aware of the debtor's identity and the facts giving rise to the debt. See s 16 of the Act.

See also the case of *Kanjere* v *Old Mutual Life Assurance Company Limited* SC 31/24 at p 10, where it was held that:

> "The need for the entire set of facts entitling one to make a claim cannot be over emphasised. It can be construed from case law that once the cause of action, which is the entire set of facts entitling one to make a claim, is established, and it is ascertained when the cause of action arose, the Court can safely determine whether or not the debt has prescribed…
>
> What can be deduced from the Act is that unless prescription is delayed and interrupted as envisaged in ss 17, 18 and 19 of the Act, it commences and or continues to run. Once the creditor is aware of the facts from which the debt arises, prescription commences to run as soon as the debt is due. It is settled that once the entire set of facts which entitle a party to claim exists, then one should claim a due debt to avoid being affected by prescription."

ANALYSIS

From the above principles, the court must first determine the cause of action upon which the plaintiff's claim is founded. In other words, it must make a finding as to when the cause of action arose. The clock for prescription starts to run when the plaintiff has a complete cause of action. Thus, in *Brooker* v *Mudhanda & Anor* 2018 (1) ZLR 33 (S) at 35G-36A, the court remarked that:

> "In order to determine the question of prescription the court first had to make a finding on the cause of action upon which the respondent's claim was premised and when specifically, the cause of action arose."

The law is clear on what constitutes a cause of action. In *Mudhanda* v *The Registrar of Deeds & Anor* SC 5/18 at p 4, it was held that:

> "What constitutes 'a cause of action' was described in *Abrahams & Sons v SA Railways and Harbours* 1933 CPD 626. At 637 WATERMEYER J stated:
>
> > "The proper meaning of the expression 'cause of action' is the entire set of facts which give rise to an enforceable claim and includes every fact which is material to be proved to entitle a plaintiff to succeed in his claim. It includes all that a plaintiff must set out in his declaration in order to disclose a cause of action."

In this case, the special plea is based on the facts which are common cause. The first defendant submitted that there was, therefore, no need for adducing evidence. Indeed, the facts necessary for the court's determination of the special pleas are common cause, as shown by the Statement of Agreed Facts filed by both parties, and the court must determine the special plea on the facts as agreed. Whether the facts are incorrect is something which should not concern the court. This was restated in *Kanjere* (*supra*) at p 12, where it was stated that:

> "The parties proceeded on a statement of agreed facts seeking the court to determine the issue of prescription only. It is trite that where parties proceed by way of statement of agreed facts, the court is confined to the determination of the legal issue brought before it. See *Kunonga* v *The Church of the Province of Central Africa* SC 25/17 at para [17] where this Court stated the following:
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> > 'Once the facts are agreed, the court should proceed to determine the particular question of law that arises and not delve into the correctness or otherwise of the facts. It is bound to take those facts as correctly representing the agreed position and thereafter determine any issues of law that may arise thereof.'"

The first defendant's special plea was pleaded under a heading titled '*In Limine'* and read as follows:

> "1. To the extent that the Plaintiff seeks to rely on a purported breach which by its own acknowledgement became known to it in 2018 and to which it claims to have issued a letter of demand on the 12th of December 2018, a period of three years has since lapsed with the result that the cause of action sued upon by the Plaintiff has long since extinguished by operation of prescription. On that premise alone the Plaintiff's action ought to be dismissed with costs."

See p 26 of the record.

By pleading the above facts, the first defendant confirmed herself to those facts as pleaded. A party is bound by his or her own pleadings, and unless amended, he or she cannot set out to establish another case than what he or she has pleaded. See *Medlog Zimbabwe (Pvt) Ltd* v *Cost Benefit Holdings (Pvt) Ltd* SC 24/18 at pp 10-13. See also *Vengesayi M & A* v *Belvedere Nursing Home (Pvt) Ltd* SC 15/20, wherein it was held that:

> "It is trite that "a pleader cannot be allowed to direct the attention of the other party to one issue, and then pursue a different issue at the trial". See *Kali v Incorporated General Insurance Ltd* 1976 (2) SA 179 (D) at 182A (quoted with approval in *Keavney & Anor v Msabaeka Bus Services (Pvt) Ltd* 1996 (1) ZLR 605 (S) at 608B)."

The plaintiff's cause of action is not for the breach of the agreement of sale but for the confirmation of the cancellation of the agreement. It arose when it was contended that the plaintiff had not validly or properly cancelled the agreement. I agree with Mr *Maunze* that the first defendant misunderstood the plaintiff's cause of action. Mr *Moyo* mischaracterised it as the breach of contract. A declaratory relief sought only became necessary after the other party contended that the contract was still valid and enforceable, hence the demand for transfer of the property in January 2023. It is trite that where cancellation of a contract is lawful and justified on account of breach, it takes effect from the time it is communicated by the innocent party to the other party. See *Bako & Anor* v *Bulawayo City Council* 1996 (1) ZLR 232 at 240F where GUBBAY CJ (as he then was) said:

> "Thus, it is those actions and events which occurred after 23 March 1992 to which regard must be had in determining whether the resistance to the cancellation was justified in law; for cancellation takes effect from the time it is communicated to the other party. See *Swart* v *Vosloo* 1965 (1) SA 100 (A) at 105 (G); *Phone-A-Copy World-wide (Pty) Ltd v Orkin & Anor* 1986 (1) SA 729 at 752A-C." (*my emphasis*)

The plaintiff's case is that upon breach and failure to rectify the breach in terms of the letter of 12 December 2018, it cancelled the agreement of sale on 1 February 2019. The cancellation took effect from its alleged communication. The cancellation is not required to be confirmed by the court. In terms of the law, the contract stands cancelled unless the cancellation is set aside by the court. The cause of action in this case for the declaratory relief confirming the cancellation would only arise once the first defendant had challenged or disputed the cancellation thereof.

It cannot be said that the cause of action in this case is a breach of contract, as raised in the letter of demand dated 12 December 2018. The fact that the first defendant's pleaded facts were not denied does not, by itself, establish that the claim has prescribed. It is clear that the first defendant was mistaken as to the plaintiff's pleaded cause of action. Once it is accepted that cancellation takes effect from the time it is communicated to the other party, it follows that it is not legally necessary to have it confirmed, save for instances where the cancellation is put in

issue or challenged. In that case, there would be need for a declaration of rights as the one sought by the plaintiff.

It was agreed that it was only in January 2023 when the first defendant sought to obtain a transfer and was advised that the contract had long been cancelled. See para 7 of the Statement of Agreed Facts. This then necessitated that the court confirm the cancellation of the agreement through a declaratory order sought. Thus, the cause of action crystallised only on the date the other party disputed the cancellation. To that extent, the cause of action arose in January 2023. The summons was served on 5 February 2024. By that date, the plaintiff's claim has not yet prescribed as only a period of a year had lapsed. The provisions of s 14(1) as read with s 15(d) of the Prescription Act cannot be invoked in this case.

Since I have found that the plaintiff's cause of action has not prescribed, it becomes merely academic to relate to whether the declaration of rights is a debt in the context of s 2 of the Act and can prescribe. While it is no longer an issue for me to decide, I must state in passing that, in my view, it was incorrect for the plaintiff to argue that, because the claim was for declaratory relief, it does not prescribe. The legal position has long been settled by the Supreme Court in *Syfin Holdings Ltd v Pickering* 1982 (1) ZLR 10 (SC). I had an opportunity to consider this decision and related to the other conflicting decisions of this court on the same legal position, which I found quite regrettable and unnecessary, given the clear authority of the Supreme Court on the law. Thus, in *Muchesa* v *The Housing Director Chitungwiza Municipality N.O* HH 643/25 at p 10, the court held that:

> "The well-established principle of the law is that a claim for a declaration of rights or a declaratory order is a debt within the broad meaning of the word in terms of s 2 of the Act. This position has long been affirmed by the Supreme Court in *Syfin Holdings Ltd v Pickering* 1982 (1) ZLR 10 (SC) at 19D-E where GEORGES JA was very emphatic when he interpreted the meaning of "debt" as defined in terms of s 2 of the Act and said:
>
> > "<u>This definition is clearly broad enough to include claims for specific performance or for declarations of rights in relation to any given set of circumstances</u>."
> > …
>
> Given the above legal position set out in *Syfin* (*supra*), Mr *Chikore*'s argument that the Act does not apply to an application for a declaratory order is utterly unfounded. The superior court was very emphatic that the term debt covers "declarations of rights in relation to any given set of circumstances." The attempts, therefore, to allege that the circumstances of this case are different … and, therefore, is not covered by the Act, are untenable. There is no way out, as the *Syfin* case (*supra*) does not differentiate depending on the circumstances of each case where a declaration of rights is sought." (*my emphasis*)

On the facts pleaded by the first defendant, the special plea is legally unsustainable. The plaintiff's cause of action is not for breach of contract but for confirmation of the cancellation of the agreement of sale, which, from the agreed facts, only arose in January 2023. That is when it became crystallised, for a declaratory order was now required to define the parties' rights and obligations. The cancellation in 2019 required no court confirmation before it took effect. As at 5 February 2024, when the summons was served, the plaintiff's claim had not yet been extinguished by prescription. The prescription period had not yet run its course.

The first defendant, in her heads of argument, sought to rely on other dates that it had not pleaded. She was bound by her pleading. See *Medlog* (*supra*). It is trite that one cannot plead in the heads of argument as they are not pleadings. See *Brooker* v *Mudhanda & Anor* (*supra*) para 17. The first defendant could rely only on the facts she had pleaded, but, as I stated above, they could not sustain the special plea given the plaintiff's cause of action. There was no reference in her special plea to any other dates, not even the date of cancellation of 1 February 2019 was further alluded to. The only date pleaded was 12 December 2018, the date it was alleged that prescription started to run. Since that is not the date the plaintiff's cause of action arose, the special plea must fail.

THE PLAINTIFF'S SPECIAL PLEA OF PRESCRIPTION

The plaintiff, in response to the first defendant's claim in reconvention, raised a special plea of prescription. It pleaded that, to the extent the defendant claims specific performance of an agreement of sale dated 12 July 2011, the claim has prescribed. Three years have lapsed from the date of the agreement. It was further pleaded that, in the alternative, to the extent the plaintiff relies on a clearance certificate dated 24 June 2014, the claim has prescribed as three years have since lapsed from 2014, being the date on which the obligation to transfer can reasonably be due.

WRITTEN SUBMISSIONS ON THE SPECIAL PLEA

SUBMISSIONS FOR THE PLAINTIFF

Mr *Maunze* submitted that while the agreement of sale did not specify a date on which the transfer would be effected, it provided for an event, namely the fulfilment of all conditions of the agreement. He referred to clause 7 of the agreement. It was argued that the conditions were

fulfilled when the Clearance Certificate was issued on 24 June 2014. The contention was that, as at 24 June 2014, the first defendant did not need to do anything further other than receive the transfer. That there was no tender of additional performance in the first defendant's plea. Accordingly, the first defendant's cause crystallised on 24 June 2014. All the conditions have been met for the transfer after the plaintiff had issued a Clearance Certificate, the first defendant was entitled to transfer. It matters not that the Clearance Certificate was issued in error. She had three (3) years to sue for transfer but failed to do so. It was thus argued that her claim in reconvention has prescribed.

SUNMISSIONS FOR THE SECOND DEFENDANT

Mr *Moyo* submitted that the special plea raised by the plaintiff was not sustainable on the facts pleaded nor from the facts recorded as common cause and agreed. He argued that the mere fact that the agreement was entered into and concluded on 12 July 2011 does not mean the first defendant had as of that date a complete cause of action, nor is the fact that she completed payment and issued a Clearance Certificate on 24 June 2014. It was further argued that the facts are similar to those in *Brooker* v *Mudhanda* (*supra*).

Counsel went on to submit that the time for the transfer was not stated in the agreement, nor was a demand for transfer made before January 2023. Clause 7 of the agreement stated that the seller shall tender transfer after all conditions of the agreement have been met. The preamble of the agreement and clauses 10 and 11 showed that the seller had several obligations to fulfil to comply with the subdivision permit requirements before it could tender transfer. The Clearance Certificate dated 24 June 2014 did not in any way suggest that the plaintiff was ready to transfer the property.

Mr Moyo contended further that performance in respect of the transfer was not due upon the making of the contract, nor was it due upon the issue of the stand Clearance certificate. The first defendant's claim was one in which the first defendant's demand was necessary to complete the cause of action. It was not denied that the demand was made only in January 2023. It would only be the demand for transfer that would trigger the cause of action, where she seeks to enforce the agreement and obtain transfer of the property. It was prayed that the plaintiff's special plea ought to be dismissed for lack of merit.

ANALYSIS

The plaintiff's main position is that the first defendant's claim has prescribed for the reason that the agreement in terms of which she seeks specific performance in respect of the transfer of the property was concluded on 12 July 2011, and, therefore, 3 years have lapsed since the contract was entered into. The alternative argument is that since the Certificate of Clearance in respect of the payment of the purchase price was issued on 24 June 2014, then the counterclaim served in 2024 has prescribed. The question to be answered first is when the cause of action for the first defendant arose, or her cause of action crystallised. As s 16(1) of the Act provides, prescription begins to run as soon as the debt is due. In terms of subsection 3 of s 16, a debt shall not be deemed to be due until the creditor becomes aware of the identity of the debt and of the facts from which the debt arises.

The first defendant's cause of action arises from the failure by the plaintiff upon demand to pass transfer of the property. It is trite that a contract of sale does not *per se* pass ownership of the property sold. Transfer is due at the agreed time or upon demand. Thus, in *Brooker* v *Mudhanda & Anor* (*supra*), it was aptly stated as follows:

> "Generally, the making of a contract of sale does not *per se* pass ownership in the thing sold. The authorities are clear that the signing of an agreement does not automatically translate to the transfer of property but that transfer can be effected at an agreed time or upon demand. In *Smart v Rhodesian Machine Tools Ltd* 1950 (1) SA 735(SR), TREDGOLD J (as he was then) accepted the general rule that where a contract fixes no time for performance, the debtor is not *in mora* until a reasonable time for performance has elapsed and the creditor has demanded performance.
>
> This principle as stated above was also highlighted in *Asharia v Patel & Ors* 1991(2) ZLR 276(S), wherein GUBBAY CJ outlined the applicable principle where the time for performance in an agreement has not been agreed in the agreement itself. He stated:
>
> > "The general rule is that where the time for performance has not been agreed upon by the parties, performance is due immediately on conclusion of their contract or as soon thereafter as is reasonably possible in the circumstances. But the debtor does not fall into *mora ipso facto* if he fails to perform forthwith or within a reasonable time. He must know that he has to perform. This form of *mora*, known as *mora ex persona*, only arises if, after a demand has been made calling upon the debtor to perform by a specified date, he is still in default. The demand, or *interpellatio*, may be made either judicially by means of a summons or extra-judicially by means of a letter of demand or even orally; and to be valid it must allow the debtor a reasonable opportunity to perform by stipulating a period for performance which is not unreasonable. If unreasonable, the demand is ineffective." (*my emphasis*)

Given the above legal principles, the argument that prescription began to run on 12 July 2011, when the contract was entered into, is, therefore, completely untenable. The date on which the transfer would be made was not specified in the agreement. Mr *Maunze* accepted this position. Clause 7 of the agreement of sale at p 120 of the record clearly states as follows:

> "**7. <u>TRANSFER</u>**
>
> (a) The Seller undertakes to tender transfer of the stands to the Purchaser <u>after all the conditions stated in this agreement of sale have been met</u>.
> (b) The seller shall tender transfer of the stand to the Purchaser in terms of this agreement and the Purchaser shall provide the Seller's Conveyancers with;
> i. the amount of all the costs of transfer
> ii. all such data, information and documents duly completed as may have been requested by conveyancer." (*my emphasis*)

Since no time for performance or transfer was agreed, the plaintiff ought to have been put in *mora* by a demand for transfer, giving it a reasonable period to perform. There is no dispute that this was not done in 2014, when the Clearance Certificate was issued, nor on 12 July 2011, when the agreement was concluded. In the absence of that demand by the first defendant for the plaintiff to pass transfer within a particular period, during those years averred by the plaintiff, it cannot be said that prescription began to run or that the claim has prescribed. As *per* para 7 of the Statement of Agreed Facts, the first defendant presented herself to the plaintiff only after discovering that the plaintiff had begun passing title to purchasers in January 2023.

There is no doubt that, in terms of clause 7, transfer would only be done once all conditions in the agreement had been met. These conditions included not only the payment of the purchase price but the fulfilment of the plaintiff's own obligations under clause 10, where a certificate of compliance would be required for the transfer of the subdivision. The preamble also acknowledged that survey works were to be undertaken, which could result in changes to the stand size or number upon approval of the diagrams by the Surveyor-General. See para(s) 6 and 7 at p 118. In the parties' Statement of Agreed Facts, it is common cause that the initial agreement was cancelled after the change in the size and number of the stand. The new stand number is now 3129 (formerly 2622). See the amended summons at p 42 of the record.

What is clear is that the 'all conditions' to be met for transfer to be effected under clause 7 were not only limited to the payment of the purchase price. It cannot be a valid argument, therefore, that the transfer became due because the plaintiff issued a clearance certificate for the

payment of the purchase price on 24 June 2014, given the provisions of clause 7 of the agreement. It was not shown that there was any demand made by the first defendant for the transfer at least three years before the claim was served. As settled at law, where no time for performance or transfer has been stipulated, the debtor does not fall into *mora ipso facto* upon failure to perform. A demand had to be made for performance, and that would complete the first defendant's cause of action. Since the only point when a demand for transfer of the stand was made by the first defendant was in January 2023, that is also when the cause of action arose. Prescription commenced to run from that date. This means from January 2023 to the date when the claim was served in 2024, the prescriptive period of 3 years had not yet lapsed. Accordingly, the claim in reconvention has not prescribed.

The plaintiff's argument that transfer was due when the contract was concluded in 2011 or when the first defendant was issued with the clearance certificate in 2014 was clearly misplaced. Those arguments cannot sustain the special plea given clause 7 of the agreement of sale and the settled legal position. The plaintiff's special plea of prescription in respect of the counterclaim is, therefore, without merit and ought to fail.

DISPOSITION

I am satisfied that neither party's claim has prescribed. The parties' respective special pleas are without merit and must accordingly fail. Their respective claims remain valid and must be determined on the merits.

In respect of costs, the appropriate order is that costs shall be in the cause as the matter must now proceed to trial on the merits.

Accordingly, I make the following order:

"1. The special plea of prescription raised by the 1st defendant in respect of the plaintiff's claim be and is hereby dismissed.

2. The special plea of prescription raised by the plaintiff in respect of the 1st defendant's claim in reconvention be and is hereby dismissed.

3. Costs shall be in the cause.

4. The matter shall proceed to trial on the merits and the Registrar shall set down the matter for hearing accordingly."

DEMBURE J: ……

Jiti Law Chambers, plaintiff's legal practitioners
Mushoriwa Moyo, 1st defendant's legal practitioners
Gollop & Blank, 2nd & 3rd defendants' legal practitioners